

Now, let us talk about how to short using the Ichimoku Cloud

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Nifty 50 Index, 1h, NSE O19241.90 H19249.95 L19220.20 C19230.60 -10.45 (-0.05%)
Ichimoku (9, 26, 52, 26) 19191.60 19124.97 19230.60 19158.29 19057.05



If you reverse all the things we talked about for buying, you get all the ground rules for selling with Ichimoku Cloud. Notice the Conversion Line going below the Base Line. This is where you must be alert as a trader. We take a short position when a candle closes below the cloud. Keep the stoploss as same level as the Leading Span A.

CONCLUSION

The Ichimoku Cloud is a powerful technical tool which provides you with insights of the overall market dynamic of a price chart. When traded with rules, it can help you make well-informed trading decisions and boost the efficiency of your analysis to a great extent.